Ganfeng Lithium (1772 HK/002460 CH)

Buy/Buy: To benefit from more supply cuts, if any

Equities
Metals & Mining

China

- 2Q25 loss in line with profit alert; lower lithium price partially offset by battery income
- Expect slight 2H25 profit with improved lithium price and increased earnings contribution from battery
- Maintain Buy at adjusted H/A TPs of HKD33.40/RMB41.90 (from HKD31.00/RMB43.00), implying c8-9% upside

2Q25 results review: Ganfeng Lithium (Ganfeng) reported a 2Q loss of RMB175m vs losses of RMB321m in 2Q24 and RMB356m in 1Q25, attributable to a lower lithium price, higher finance cost, and inventory impairment, countered by income from the battery segment on increased sales volume and higher margin. We saw signs of earnings recovery both q-o-q and y-o-y. On a half-year basis, gross margin was stable at 11% despite a falling lithium price. We expect lithium chemicals margin to improve in 2H25 as lithium prices have already rebounded from June's bottom. Additionally, the battery segment is profitable and management guided that battery income will continue to grow in 2H25 (see analyst briefing takeaways on pg. 3).

Potential share price catalysts: The lithium chemical price may rise further due to a production halt amid an "anti-involution" campaign. Several developments since July include lithium mine licensing constraints in Qinghai and non-approval of CATL's mining licenses. Seven other mines in Yichun, Jiangxi are also subject to new environmental documents and will need to secure license approvals by 30 September to avoid production impacts. While there is no specific supply-cut target by the government, the issues the industry faces in China, such as overcapacity and associated lower prices, are among those in scope of the policy focus. If operations at CATL and seven other mines in Yichun that account for over 10% global supply are stopped for a prolonged period, it could significantly reduce surplus from the lithium market, and downstream restocking willingness will increase with upside risk to lithium prices.

Implications: Company-specific, we witnessed some positive changes in 1H results, such as stabilized margin and earnings contribution from the battery segment. Ganfeng's earnings are highly sensitive to lithium price. We like Ganfeng as we expect average cost to trend down gradually with more output from its self-owned upstream projects (C-O, Mali, and Mariana) and expect a return to profit in the coming year, even if lithium prices go no higher. We adjust our H/A target prices to HKD33.40/RMB41.90 (from HKD31.00/RMB43.00), implying c8-9% upside, and retain our Buy ratings. We keep our Buy rating because we see potential upside risk to lithium price amid the ongoing "anti-involution" campaign.

H: MAINTAIN BUY

TARGET PRICE (HKD)	PREVIOUS TARGET (HKD)
33.40	31.00
SHARE PRICE (HKD)	**UPSIDE/DOWNSIDE**
30.80	+8.4%

(as of 22 Aug 2025)

A: MAINTAIN BUY

TARGET PRICE (CNY)	PREVIOUS TARGET (CNY)
41.90	43.00
SHARE PRICE (CNY)	**UPSIDE/DOWNSIDE**
38.30	+9.4%

(as of 22 Aug 2025)

MARKET DATA

BBG / RIC	1772 HK / 1772.HK
Market cap (HKDm / USDm)	79,826 / 10,215
Free float (H / A)	88% / 65%
3m ADTV (USDm) (H / A)	44 / 167

FINANCIALS AND RATIOS (CNY)

Year to	12/2024a	12/2025e	12/2026e	12/2027e
HSBC EPS	-1.03	-0.10	0.35	1.29
HSBC EPS (prev)	-0.02	0.81	1.61	na
Change (%)	-4104.0	nm	-78.2	na
Consensus EPS	-0.11	0.25	0.90	1.44

Source: LSEG IBES, HSBC estimates

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Financials & valuation

Buy

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (CNYm)				
Revenue	18,726	19,392	21,707	25,342
EBITDA	1,217	2,704	4,389	7,052
Depreciation & amortisation	-1,134	-1,718	-2,114	-2,492
Operating profit/EBIT	83	986	2,274	4,560
Net interest	-1,091	-1,413	-1,686	-1,959
PBT	-2,296	-275	744	2,728
HSBC PBT	-2,296	-275	744	2,728
Taxation	-330	28	-74	-273
Net profit	-2,069	-198	703	2,578
HSBC net profit	-2,069	-198	703	2,578
Cash flow summary (CNYm)				
Cash flow from operations	5,161	2,754	3,961	6,115
Capex	-8,548	-10,000	-10,000	-10,000
Cash flow from investment	-12,242	-10,000	-10,000	-10,000
Dividends	-1,610	-303	-70	-70
Change in net debt	9,700	8,961	7,724	5,914
FCF equity	-3,387	-7,246	-6,039	-3,885
Balance sheet summary (CNYm)				
Intangible fixed assets	20,398	20,398	20,398	20,398
Tangible fixed assets	37,489	45,772	53,657	61,165
Current assets	22,003	20,017	20,304	22,841
Cash & others	5,641	3,681	2,956	4,042
Total assets	100,832	107,129	115,301	125,346
Operating liabilities	19,370	19,218	19,720	20,379
Gross debt	31,237	38,237	45,237	52,237
Net debt	25,596	34,557	42,281	48,195
Shareholders' funds	41,782	41,282	41,985	44,493
Invested capital	54,878	63,289	71,683	79,982

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	-42.9	3.6	11.9	16.7
EBITDA	-58.6	122.1	62.3	60.7
Operating profit	-96.1	1092.7	130.7	100.5
PBT	-143.4			266.5
HSBC EPS	-141.7			266.5
Ratios (%)				
Revenue/IC (x)	0.4	0.3	0.3	0.3
ROIC	0.2	1.5	3.0	5.4
ROE	-4.7	-0.5	1.7	6.0
ROA	-1.4	1.0	2.0	3.5
EBITDA margin	6.5	13.9	20.2	27.8
Operating profit margin	0.4	5.1	10.5	18.0
EBITDA/net interest (x)	1.1	1.9	2.6	3.6
Net debt/equity	53.8	73.5	88.6	96.2
Net debt/EBITDA (x)	21.0	12.8	9.6	6.8
CF from operations/net debt	20.2	8.0	9.4	12.7
Per share data (CNY)				
EPS reported (diluted)	-1.03	-0.10	0.35	1.29
HSBC EPS (diluted)	-1.03	-0.10	0.35	1.29
DPS	0.15	0.00	0.04	0.13
Book value	20.84	20.59	20.94	22.19

Valuation data: 1772 HK

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	4.4	4.7	4.6	4.2
EV/EBITDA	68.1	34.0	22.7	15.0
EV/IC	1.5	1.5	1.4	1.3
PE*	nm	nm	80.5	22.0
PB	1.4	1.4	1.3	1.3
FCF yield (%)	nm	nm	nm	nm
Dividend yield (%)	0.5	0.0	0.1	0.5

* Based on HSBC EPS (diluted)

Valuation data: 002460 CH

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	4.4	4.7	4.6	4.2
EV/EBITDA	68.1	34.0	22.7	15.0
EV/IC	1.5	1.5	1.4	1.3
PE*	nm	nm	nm	29.8
PB	1.8	1.9	1.8	1.7
FCF yield (%)	nm	nm	nm	nm
Dividend yield (%)	0.4	0.0	0.1	0.3

* Based on HSBC EPS (diluted)

ESG metrics

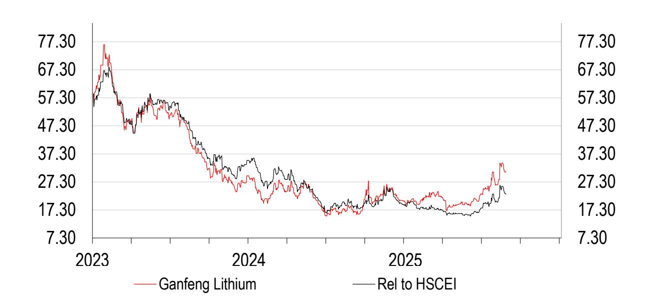
Environmental Indicators	12/2023a
GHG emission intensity*	214.2
Energy intensity*	325.1
CO_2 reduction policy	Yes
Social Indicators	**12/2023a**
Employee costs as % of revenues	5.7
Employee turnover (%)	49.5
Diversity policy	Yes

Governance Indicators	12/2024a
No. of board members	10
Average board tenure (years)	7.0
Female board members (%)	40
Board members independence (%)	40

Source: Company data, HSBC

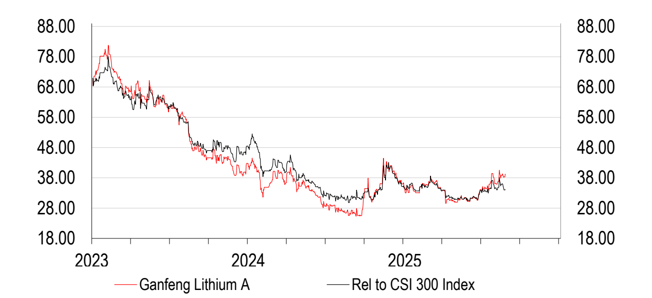
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Price relative: 1772 HK



Source: HSBC

Price relative: 002460 CH



Source: HSBC
Note: Priced at close of 22 Aug 2025

Key takeaway from analyst briefing:

Upstream Resource Progress

- Mariana Salt Lake (Argentina): Annual production guidance of 30,000-35,000t of lithium carbonate, achieved c50% of annual target in 1H25, confident to meet full-year guidance.
- Mali Project: Normal mining operations. First shipment delivered, second and third vessels en route. Annual shipment guidance of ore maintained at 3mt.
- Sichuan Project: 50,000t capacity under commissioning.
- Qinghai Project: 1,000t lithium metal production line commenced.

Midstream New Materials & Technology

- Lithium sulfide production line completed and began external supply; will be used in next-gen solid-state batteries.
- Lithium metal: Ganfeng accounts for >60% domestic share and c40% global share; core strength in new materials R&D.

Lithium & Solid-State Batteries

- Traditional lithium batteries: Completed internal organizational restructuring to improve profitability. Seeing strong cell demand with some models in short supply.
- Solid-state batteries:
  - Pouch type: energy density raised from 320Wh/kg to 550Wh/kg; cycle life >1,000; passed automotive-grade certification; adopted in drones.
  - Cylindrical 21700: 6-7.5Ah capacity; 330-420Wh/kg; discharge rate up to 25C; 50k cells/day line; mass production targeted early 2026.
  - Storage type: 304Ah semi-solid prismatic battery in use; larger 314Ah, 392Ah versions in pipeline.

Energy Storage

- Delivered multiple shared energy storage stations via “Yichu” and other platforms.
- Strong customer recognition of brand and integrated supply chain; business rapidly scaling.

Q&A section

Timing of Mali’s first shipment and full-year plan? First shipment underway, follow-up vessels on schedule; full-year target remains at 3m tons.

Impact of Mali unrest on operations/transport? Operations normal; security enhanced with government and military support.

Progress in robot battery business? Already supplying to leading robotics clients; solid-state battery adoption is under way with strong potential for wider application.

Cost reduction at salt lakes? Cash cost fell from USD 6,800/t (end-2024) to USD 6,000/t (1H25) with further room for reduction.

Mali Angou mine plans? Resource is mature but with low profitability; plans for flotation upgrade to improve recovery and cut costs with long-term potential.

Battery shipment and profit guidance? For battery, 33GWh is planned for 2025 with c50% achieved in 1H25. Management expects profitability to improve with price recovery. Some models have raised price due to strong demand and rising costs. Of 33GWh planned, some via Yichu, others direct to clients. Yichu shipped c2GWh in 1H25 and will scale up sharply in 2H25.

Capacity expansion plans for battery? Chongqing base >20GWh capacity is under construction.

Mali cost outlook? Costs not yet stable; expected to fall as production ramps and solar-storage integration rolls out.

Will high prices drive production increase? Limited flexibility due to mining license and funding.

Lithium price & resource priority? Short-term supply-demand stabilizing; price expected to be RMB 80-90k/t; lowest-cost resources always prioritized.

Impact of "Lithium OPEC"? Chile and Bolivia may push for OPEC, but Argentina's mining structure and government stance make enforcement difficult. Hence, management expects limited impact.

Mariana Salt Lake progress & cost? Expect small shipments (thousands of tons) this year; costs high initially, but will normalize as scale ramps.

Gains from disposal of non-current assets? Mainly from selling Yichu and subsidiary equity stakes.

Ganfeng – H/A (1772 HK / 002460 CH)

Estimate changes

After incorporating 1H25 reported earnings, the latest lithium price forecasts, demand outlook, and capacity expansion progress, we now forecast a net loss of RMB198m in 2025 and cut our earnings estimates by 78% for 2026. We also introduce our earnings estimates for 2027.

Exhibit 1: Ganfeng Lithium – changes to our estimates and comparison with consensus

	New			Old			Difference			Consensus			Difference		
RMBbn	**2025e**	**2026e**	**2027e**	**2025e**	**2026e**	**2027e**	**2025e**	**2026e**	**2027e**	**2025e**	**2026e**	**2027e**	**2025e**	**2026e**	**2027e**
Sales	19,392	21,707	25,342	16,573	19,234	NA	17%	13%	NA	20,535	26,018	30,739	-6%	-17%	-18%
Gross profit	3,106	4,394	6,680	4,665	6,397	NA	-33%	-31%	NA	2,843	4,767	6,443	9%	-8%	4%
GM (%)	16%	20%	26%	28%	33%	NA	-12.1ppt	-13.0ppt	NA	14%	18%	21%	2.2ppt	1.9ppt	5.4ppt
Operating income	986	2,274	4,560	2,545	4,277	NA	-61%	-47%	NA	1,213	3,096	4,462	-19%	-27%	2%
Profit before tax	-275	744	2,728	1,927	3,838	NA	-114%	-81%	NA	269	1,884	3,276	-202%	-60%	-17%
Net income	-198	703	2,578	1,631	3,247	NA	-112%	-78%	NA	377	1,812	2,872	-153%	-61%	-10%
EPS (RMB)	-0.10	0.35	1.29	0.81	1.61	NA	-112%	-78%	NA	0.21	0.97	1.47	-146%	-64%	-13%

Source: Bloomberg consensus, HSBC estimates

Valuation and risks

We maintain Buy ratings on Ganfeng H/A-shares, but we adjust our target prices reflecting the revised earnings estimates.

For Ganfeng H-shares, we increase our target price goes to HKD33.40 (from HKD31.00). Our target P/B of 1.45x (previously 1.2x) is 0.75 SD below the stock's historical average since 2019. We apply the multiple to our 2026e BVPS of RMB20.95 (previously RMB24.83), derived using our FX team's end-2025e RMB-HKD forecast of 1.10 (previously 1.05). Our new target price implies c8% upside. We keep our Buy rating because we see potential upside risk to lithium price amid the ongoing "anti-involution" campaign.

We lower our target price for Ganfeng A-shares to RMB41.90 (from RMB43.00). Our revised target price is derived by applying a new target forward P/B of 2.0x (previously 1.75x) to our 2026e BVPS of RMB20.95 (previously RMB24.83). Our target P/B of 2.0x is also 0.75 SD below the stock's historical average since 2019. Our new target price implies c9% upside. We keep our Buy rating, seeing potential lithium price upside risk amid the "anti-involution" campaign.

Downside risks: 1) Longer-than-expected ramp-up time of its upstream projects, lithium chemical plants, and battery plants; 2) trade tension between China and Australia could impact spodumene imports; 3) lower-than-expected demand growth from EV and ESS; and 4) lower-than-expected investment income amid lower lithium price.

Disclosure appendix

Analyst Certification

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Important disclosures

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

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For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

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Buy	56%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	38%	(11% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(7% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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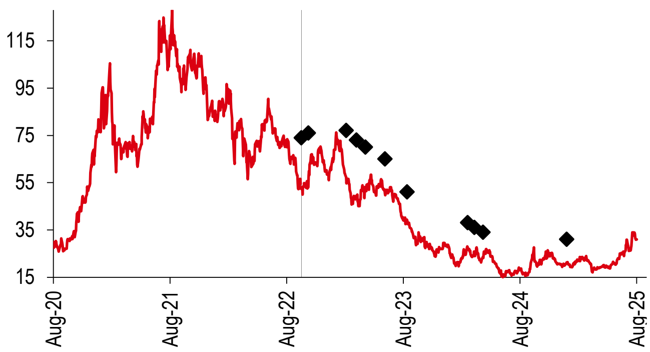
Share price and rating changes for long-term investment opportunities

Ganfeng Lithium (1772.HK) share price performance HKD Vs HSBC rating history



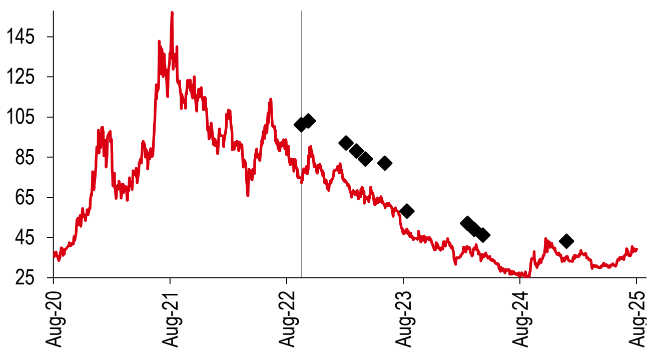
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	74.00	09 Oct 2022	Howard Lau, CFA
Price 2	76.00	31 Oct 2022	Howard Lau, CFA
Price 3	77.00	27 Feb 2023	Howard Lau, CFA
Price 4	73.00	31 Mar 2023	Howard Lau, CFA
Price 5	70.00	28 Apr 2023	Howard Lau, CFA
Price 6	65.00	28 Jun 2023	Howard Lau, CFA
Price 7	51.00	05 Sep 2023	Howard Lau, CFA
Price 8	38.00	13 Mar 2024	Howard Lau, CFA
Price 9	36.00	03 Apr 2024	Howard Lau, CFA
Price 10	34.00	30 Apr 2024	Howard Lau, CFA
Price 11	31.00	17 Jan 2025	Howard Lau, CFA

Source: HSBC

Ganfeng Lithium A (002460.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	101.00	09 Oct 2022	Howard Lau, CFA
Price 2	103.00	31 Oct 2022	Howard Lau, CFA
Price 3	92.00	27 Feb 2023	Howard Lau, CFA
Price 4	88.00	31 Mar 2023	Howard Lau, CFA
Price 5	84.00	28 Apr 2023	Howard Lau, CFA
Price 6	82.00	28 Jun 2023	Howard Lau, CFA
Price 7	58.00	05 Sep 2023	Howard Lau, CFA
Price 8	52.00	13 Mar 2024	Howard Lau, CFA
Price 9	49.00	03 Apr 2024	Howard Lau, CFA
Price 10	46.00	30 Apr 2024	Howard Lau, CFA
Price 11	43.00	17 Jan 2025	Howard Lau, CFA

Source: HSBC

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
GANFENG LITHIUM	1772.HK	30.98	25 Aug 2025	6, 7, 11
GANFENG LITHIUM A	002460.SZ	39.26	25 Aug 2025	6, 7, 11

Source: HSBC

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Additional disclosures

1 This report is dated as at 26 August 2025.

2 All market data included in this report are dated as at close 22 August 2025, unless a different date and/or a specific time of day is indicated in the report.

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